because often the entry price is not low, because the belief is that the price of the stock will keep soaring. This is a risky investment strategy and is often used by investors who have positions in broad indices instead of select stocks to take advantage of the index movement on their portfolios. New investors are cautioned from following this strategy and even experienced investors need to pay attention to the volatility of the stock price or the index when following this strategy. Moreover, momentum followers use some form or the other of risk management to minimise possible losses.

Income Investing

Although investing is mostly for growth, there is also a chance of using investments to create an income. Income investing entails building an investment portfolio that allocates some, or all, of the portfolio to investments that generate a regular, consistent stream of income. Income investors are more focused on generating ongoing cash flow from their investments rather than generating income by way of selling their investments.

Dividend-paying stocks are the foundation of following the income investing strategy. To identify stocks that pay dividends regularly, you need to look at the dividend per share that certain companies pay out. The dividend yield of a stock is a factor to consider when looking to follow an income-investing strategy. But first, a dividend is a share of the profit that a listed company earns and pays out to shareholders. Generally, a profit-making company has the option to retain the profits to utilise it for growth prospects. It also has the option to pay the profits in full or partially to shareholders.

Dividends can be paid in cash or stock and companies declare dividends at their board meetings, and the shareholders' approval is a must for dividend declaration. Generally, almost all listed PSUs that are profitable tend to pay dividends. You could look up the dividend yield of a company or its stock and filter your search to invest in it based on your need and risk tolerance.

Income investing is seen as a relatively low-risk strategy as it focuses on locking in income and doesn't so much depend on capital gains. As high dividend yields can be a sign that a stock is undervalued, income investing is also often

EVOLVING STRATEGIES

There are many other strategies that have evolved in recent times to capture trends as well as new developments. Some of these are yet to pass the test of time

QUANT INVESTING: Quant investing is the use of data and quantitative models to arrive at a computer-screening process to select stocks based on a model that has worked based on past data. These are generally back-tested on available market and stock data, and are purely data-driven. Quant models could be a mix of value, growth or momentum filters to pick stocks. As economic and market information changes with time and what worked in the past may not necessarily work in the future, this strategy has its share of risks.

Where quant investing helps most is to take the emotions out of investing. The success of quant investing is as good as the model it follows and the filters it has set based on past market information. These models are good for institutions that wish to take advantage of models that have been rigorously back-tested and may demonstrate the possibility to work in the future. These are also good to arrive at a universe of stocks based on the models developed to then use the human experience to make the final investment decision.

ESG INVESTING: Environmental, social and governance (ESG) investing is all about choosing investments based on sustainability, commitment to furthering social causes and good corporate governance. There are factors that have social responsibility also thrown in by certain models that follow ESG investing. Basically, one invests in only companies that have an ESG model in place.

Such investments are mostly a choice that individual investors may have, even at the expense of losing out on growth through other models. It could be treated as following an ethical form of investing. For instance, one may not wish to invest in companies that are in the business of tobacco or alcohol or of impacting the environment.

CONTRARIAN: Investors following this strategy assume the market is usually wrong at both its extreme lows and highs, selling into rallies and buying when markets tumble. So, when the markets are going up, this strategy takes a pessimistic view and bets against it and when the markets are down, investments are optimistic. Contrarian views set in based on news and events.

For instance, when the Maggi controversy dented the share price of Nestle, a contrarian investor would bet on the company. This strategy doesn't look at stocks that are trading cheap; it looks for valuation dips because of market reaction to negative events. It is a risky strategy and something that one should consider only if they can take risks or are highly convinced about the veracity of the news.